

Situation

- You are a Consultant on an L.E.K. team, and the CEO of your client has just called and requested a concise summary of your recommendations **in 60 minutes**
- Your Associate team has just sent you a set of slides that you now have to **quickly synthesize into a one-page executive summary of your insights**
- The **data in the slides are correct**, but the slides **lack implications** and feel like a “data dump”
 - All slides contain data that are relevant to your client, but some slides are more critical than other slides
 - Some additional analyses may also be required

Instructions

- Review the prompt on the next slide
 - Review the slides from your Associate team to develop insights and hypotheses to address the client's key questions
 - Create an executive summary slide that communicates the overall implications and recommendations related to the key questions
 - Organize the implications and recommendations of your executive summary in a structured way that clearly articulates the message to the client
 - Highlight any information gaps or next steps required to validate your conclusions fully
 - Be prepared to speak to, or reference, data from the slides that supports the implications and recommendations in your executive summary
 - Feel free to make notes or calculations on scratch paper in order to reference critical aspects of slides during your presentation
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- Your interviews will begin following the 60-minute development session; keep your executive summary and the supporting materials handy for your case presentation
 - During your case presentation interview, you will be given 15 minutes to present your recommendations to and answer questions from the “client” (L.E.K. interviewers)

Prompt

Your client is MetalPress, a manufacturer of metal components

MetalPress has asked L.E.K. to evaluate two key potential growth strategies – geographic expansion and services investment– to determine which option would create the most value to the business and be most attractive to future investors within the next 2 years

Key question:

- What is the best growth strategy for MetalPress to pursue?

Key sub-questions:

- What is the total size of MetalPress's core addressable market?
- What is MetalPress's key value proposition to its customers? How does it differentiate?
- What are the potential benefits pursuing each strategic growth option? What are the potential risks and pitfalls?
- What is the growth option that MetalPress should pursue in the next 2 years?

MetalPress company details



Locations and scale:

- MetalPress is an outsourced manufacturer for metal components that has built its business through acquisition of high-performing metal manufacturing sites in New England
- Currently MetalPress operates 10 locations in New England earning \$250M in revenues

Customers:

- MetalPress serves customers in diverse industries, typically in its core region
- None of the facilities currently have the required certifications to serve high-precision industries (e.g., aerospace, medical); the company does not have the scale required by high volume industries (e.g., automotive)

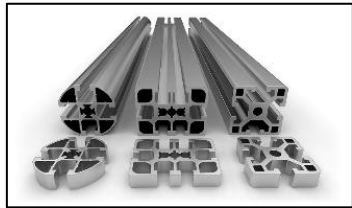
Integration:

- Not all capabilities are available at each location, but MetalPress aims to operate as “one-shop” to maximize its efficiency and allowing it to coordinate services to minimize process timing
- Fabricated or machined parts from one location may be finished in another, and jobs may be transferred between locations to re-balance capacity to effectively meet in-time production

Metal component fabrication and machining

Market definition:

- The manufacturing of metal components through fabrication (e.g., cutting, bending, welding) and machining (carving metal away to fit exact design specifications) including upstream design and engineering processes and downstream services including finishing and assembly
- These components are used across industries, generally as part of larger assemblies



Sourcing models:

In-house: companies produce their own components in house (i.e., with company owned fabrication and machining capabilities)

Outsourced: companies outsource metal component fabrication and machining to a third party, they may or may not also outsource other parts of the component manufacturing value chain

Example addressable industries:



Utility and recreational vehicles



Food manufacturing equipment



Fitness and recreational equipment



Building and construction



Other durable goods



Industrial / warehouse automation (i.e., robotics)



Automotive
High volume



Aerospace / defense

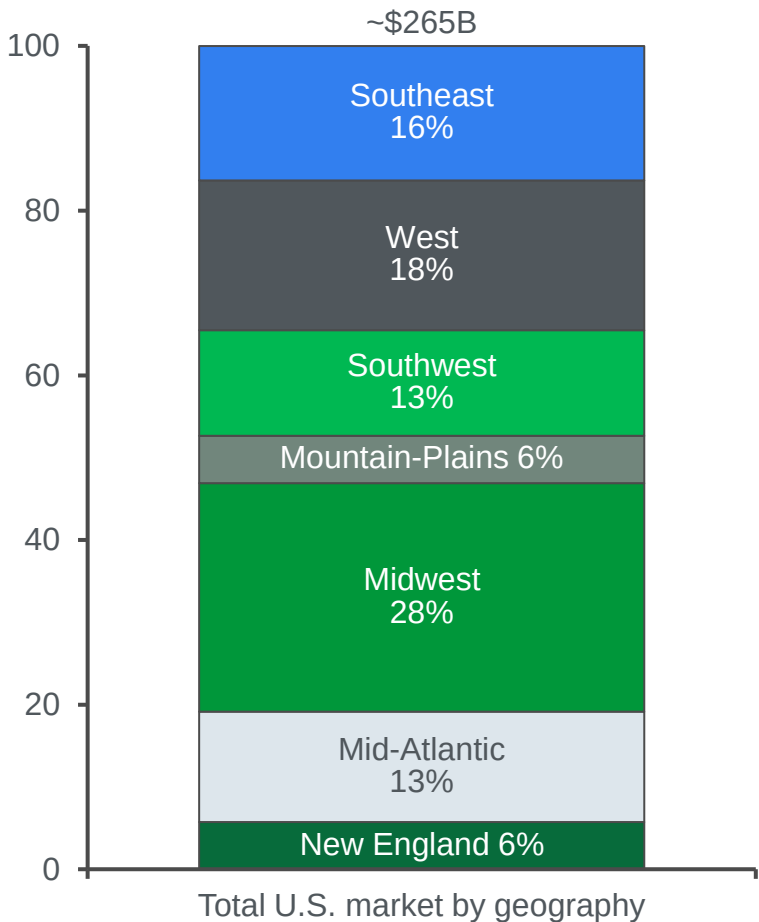


Medical

High precision

Market details

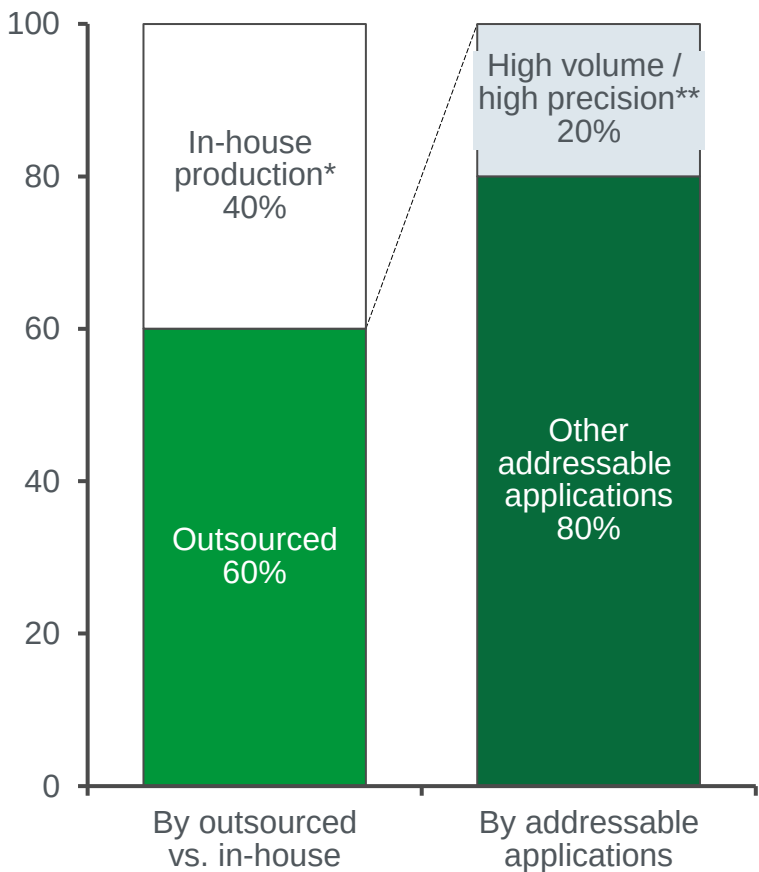
U.S. metal manufacturing solutions market
(2020)
Billions of USD



- Due to the nature of metal components, the market landscape is highly regional
- Shipping costs for metal components, particularly large metal components can be costly to companies, and can extend lead times beyond those driven by internal manufacturing processes / vendors

Market dynamics

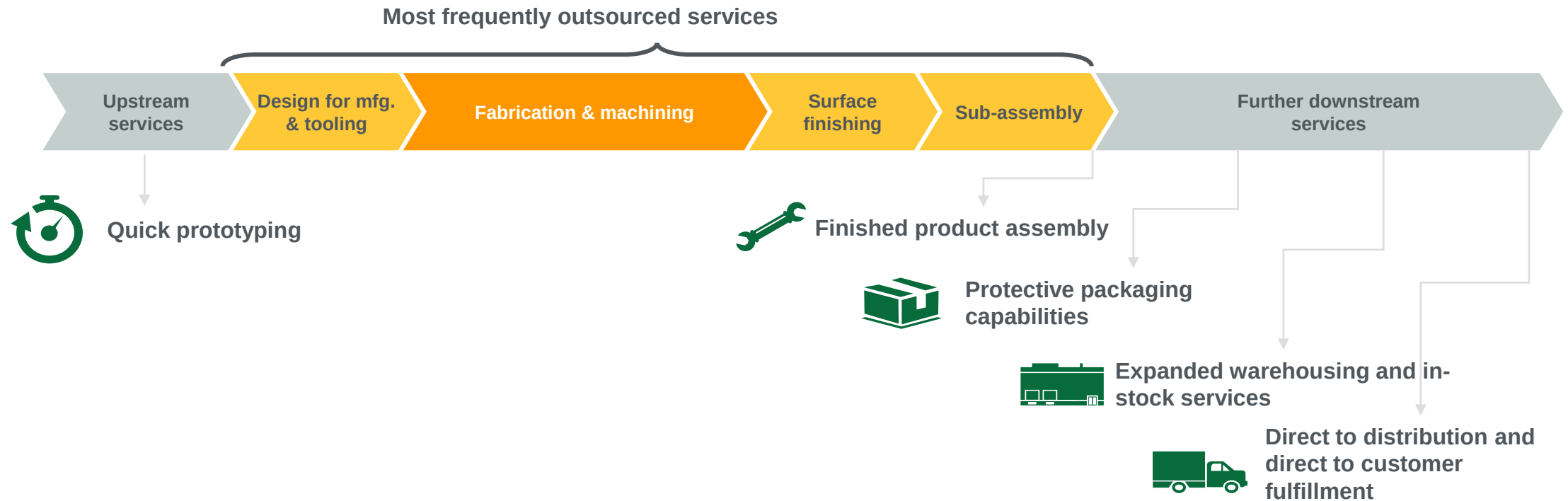
U.S. metal manufacturing solutions market
(2020)
Share of each region



- In-house production can be costly requiring investment in both equipment and space, and does not provide flexibility for companies to scale their production (up or down) or to quickly build out production of products with new processes
- Companies outsourcing their fabrication & machining may outsource other portions of the process to maximize efficiency of their internal resources

Notes: * Production not outsourced to third party providers; * Aerospace & defense, medical, automotive

Metal component value chain



Each service in the value chain is capital intensive:

- Complex and heavy machinery as well as room to safely operate that machinery is required for tooling, fabrication and machining
- Surface finishing services require investment in automation in order to scale
- Assembly and downstream services require significant investments in both space and labor (or automation)

Metal component project timing

Customers must find a balance on which processes are in-sourced / outsourced, few vendors offer end-to-end services but adding additional vendors may inflate lead times (as each vendor may have a backlog), add shipping times, and create unpredictability for their supply chain



In house only:

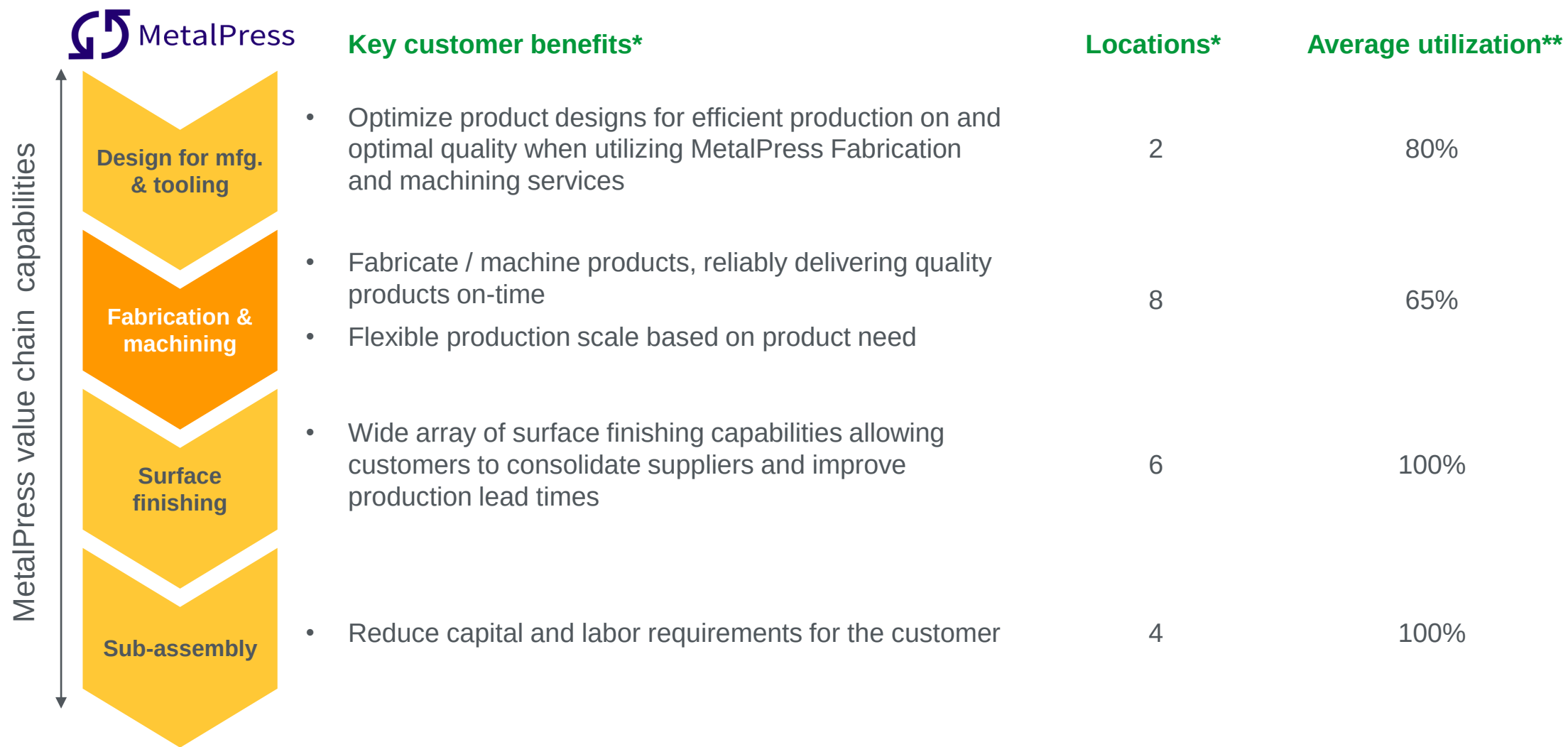
Active time	~5 days	~2-3 days	~4 days	~4 days
Non-active time	~0 days May be included in in-house upstream processes	~0 days Prioritized based on internal objectives	~0-3 days May wait for fabrication of adjacent parts to be completed before finishing and sub assembly	

Outsource only (using multiple vendors):

Active time	~5 days	~2-3 days*	~2-4 days*	~4 days
Non-active time	~1-2 weeks		~1 week	~1-2 weeks
	Tooling services based on availability of vendor, cannot begin fabrication until design and tooling is complete		Transit often required to surface finishing location	Lead time due to transit and potential labor backlog or re-tooling of automated processes

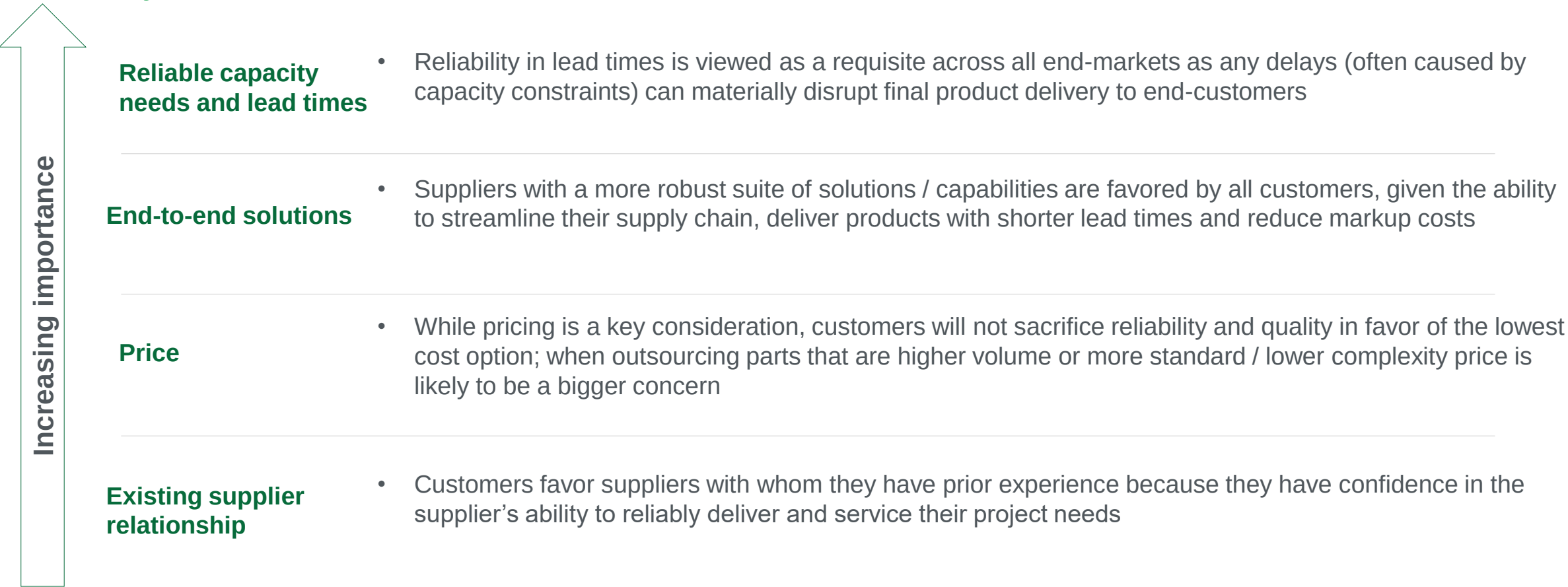
Note: * Due to high volumes outsourced providers may offer a higher degree of automation

MetalPress services



Note: * Some locations house multiple services, or are adjacent to other locations with complementary services; ** Across all locations

Key purchase considerations



Competitive landscape

New England metal component fabrication and machining competitive landscape*

			
	MetalPress	Regional metal products manufacturers	Regional job-shops
Number of companies	1	~5-10	1,500-2,000
Range of capabilities	Broad range of technical capabilities in fabrication and machining including	Typically have a limited range of capabilities that suit their customer base	Limited capabilities and capacity, often focused on 1-2 key processes for efficiency limit investment
Vertical integration	High level of vertical integration including upstream design and tooling support and downstream finishing and subassembly	Typically have a limited range of capabilities that suit their customer base	Limited or no vertical integration and limited ability to add capabilities given investment required
Scale & capacity	High location density in its region (10 locations)	1-3 locations each, located in the region	Single site, <50 employees, limited volumes
2020 Revenues	~\$250M^	~\$10-100M	<\$10M

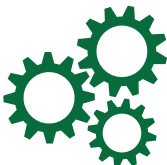
Note: * Number of companies is reflective of the competitive landscape in the New England region, due to company sizes and lack of public ownership exact company quantities and revenues are unknown; ^ Includes pro-forma revenues from acquired locations

Strategic growth options



Geographic expansion

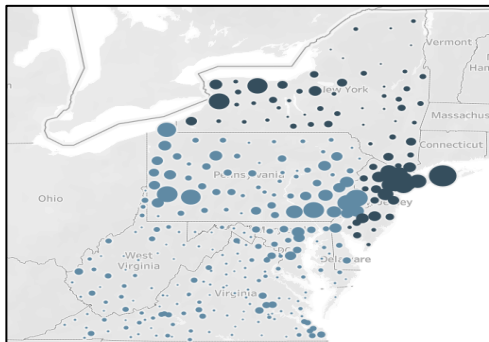
- Expand geographic reach by expanding into the Mid Atlantic region through one or multiple acquisitions
- Region is home to ~7.8K fabricated metal product manufacturing establishments
- Customer and competitive dynamics in the region are similar to those in New England



Services investment

- Investing in additional capacity for upstream or downstream services or processes / capabilities
- The strategy consists of two investments:
 - Purchase automated powder coating and wet painting lines, expected to increase efficiency in surface finishing by up to 50%
 - Acquire a small sub-assembly contractor that would increase capacity 25%

Manufacturer location density in Mid Atlantic



High volume surface finishing equipment

